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DTB | DIAMOND TRUST BANK

DTB Bank Kenya FY'2025 Earnings Note

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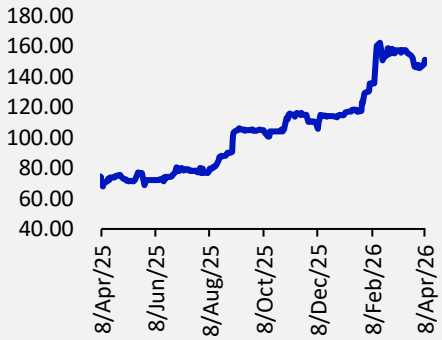
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DTB Bank FY'25 Earnings Note

10th March, 2026

Ticker Information	
NSE Code:	DTK
Issued Shares (Bn):	0.28
52-week high:	KES 170.00
52-week low:	KES 43.05

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(3.8) %	29.6%	44.2%	115.7%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 149.75	KES 153.61

Summary

- **Diamond Trust Bank (DTB) delivered a robust FY'2025 earnings outturn, with profit after tax increasing by 23.1% y/y to KES 9.41 Bn,** underscoring sustained traction in its core lending franchise**.** Management linked the performance to deepening digital penetration, expansion in SME and retail lending and steady contributions from regional subsidiaries, supporting both balance sheet progression and revenue diversification.
- The Board of Directors proposed a final dividend of KES 9.00 per share, compared to KES 7.00 in FY'2024, indicating confidence in the Group's earnings durability and capital strength.

Key Highlights

- **Income Drivers**: DTB's earnings expansion in FY'2025 was anchored on strong growth in funded income, with net interest income rising by 24.0% y/y to KES 34.88Bn, supported by a 13.6% y/y expansion in loan book to KES 324.17Bn and improved asset yields. This points to effective balance sheet deployment, with the Group extracting higher returns from its interest-earning assets.
- However, this momentum was partly tempered by a 9.0% y/y decline in non-funded income, reflecting softer FX income and transactional activity. Even so, the strength in funded income highlights DTB's earnings resilience and reliance on its core lending franchise, particularly in a period where non-funded revenue remains under pressure.
- **Asset Quality:** The Group's asset quality improved in FY'2025, with the gross NPL ratio declining to 10.8% from 12.3% in FY'2024, reflecting easing credit pressure across key lending segments. The improvement was accompanied by a strengthening in provisioning buffers, with the specific provision coverage ratio rising to 51.1% from 39.6%, enhancing loss absorption capacity and overall balance sheet resilience. While asset quality trends have improved, we note that NPL levels remain relatively elevated, underscoring the need for continued prudence in underwriting and portfolio growth.

Operating Efficiency

Operational efficiency improved in FY'2025, with the cost-to-income ratio declining to 48.8% from 51.8% in FY'2024, supported by positive JAWS of 6.8%, reflecting stronger income growth relative to costs. This was driven by continued cost optimization and scaling of digital channel utilization, highlighting the increasing efficiency and scalability of the Group's operating model. Loan loss provisions increased by 14.6% y/y to KES 9.96Bn, reflecting a cautious provisioning stance despite improving asset quality. We observe that the combination of improving efficiency and disciplined provisioning continues to support earnings quality.

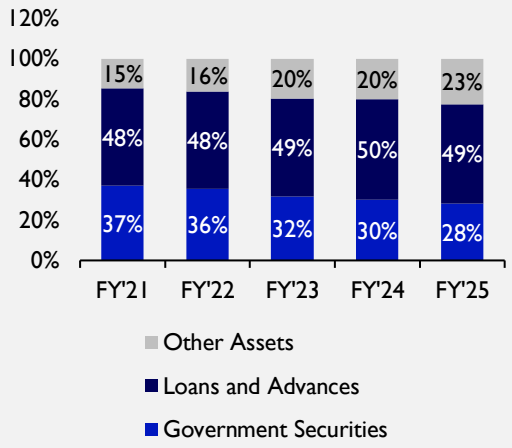
Balance Sheet Dynamics

The Group's balance sheet expanded in FY'2025, with total assets rising 15.0% y/y to KES 659.12Bn, supported by growth in both loans and investment securities. Loan advances increased 13.6% y/y to KES 324.17Bn, reflecting resilient credit demand across key segments despite a still selective lending environment. We note that investment in government securities rose 6.9% y/y, suggesting a cautious tilt towards lower-risk assets as the Group navigates prevailing credit risks. Customer deposits grew 13.8% y/y to KES 509.13Bn, reinforcing liquidity and keeping the loan-to-deposit ratio broadly stable at 63.7%, signalling sufficient funding headroom to support further asset expansion. Shareholders' equity rose to KES 101.10Bn, strengthening capital buffers and enhancing the Group's shock absorption capacity. Overall, we see DTB's strong funding base and disciplined asset allocation as underpinning balance sheet flexibility while supporting continued growth.

Outlook

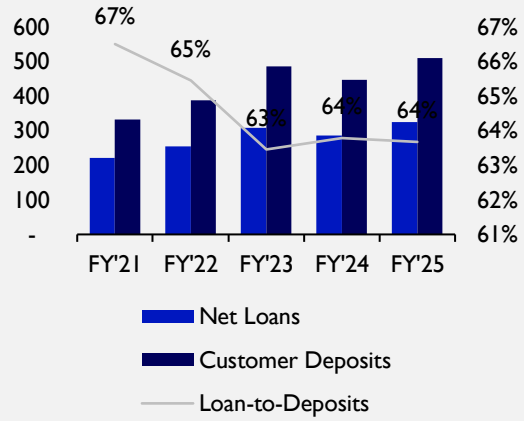
Looking ahead, we expect DTB to sustain earnings momentum, supported by continued loan growth, digital channel expansion and regional subsidiary contributions. Management remains focused on deepening its ecosystem banking strategy and scaling digital capabilities, driving transaction volumes and revenue diversification. We see topline growth supported by both funded and non-funded income streams, underpinned by loan growth across SME and retail segments and increased activity across digital channels. At the same time, improving asset quality and strengthened coverage levels are expected to moderate credit costs, supporting earnings sustainability. However, we remain mindful of macroeconomic risks, including potential shifts in the interest rate environment and external shocks that could weigh on credit demand and asset quality.

Chart 2: Asset Composition



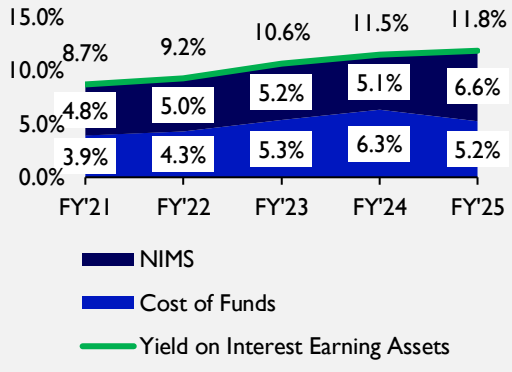
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We maintain a HOLD recommendation on DTB, on the back of steady deposit growth and a stable funding base.** At the current market price, the stock is trading at P/E ratio of 4.5x and a P/B ratio of 0.4x. Our one-year target price for DTB currently stands at KES 153.61- representing a c 2.6% upside potential from current levels.

Income Statement (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Net Interest Income	19.99	22.89	27.57	28.10	34.88	▲ 24.1%
Net non-Interest Income	6.31	9.05	12.15	12.99	11.81	▼ (9.1%)
Total Operating income	26.30	31.94	39.73	41.08	46.69	▲ 13.6%
Provision for Impairment	(7.56)	(7.14)	(10.32)	(8.69)	(9.96)	▲ 14.6%
Total Operating expenses	(19.88)	(22.08)	(30.87)	(29.91)	(32.74)	▲ 9.4%
Profit before tax	6.63	9.52	9.00	11.02	13.40	▲ 21.6%
Profit after tax	4.41	6.79	7.79	8.72	10.71	▲ 22.8%
Annualized EPS	13.98	21.68	24.60	26.97	38.29	▲ 42.0%
DPS	3.00	5.00	6.00	7.00	9.00	▲ 28.6%

Balance Sheet (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Government Securities	168.98	187.82	201.71	173.34	186.42	▲ 7.5%
Loans and Advances	220.43	253.67	308.45	285.30	324.17	▲ 13.6%
Total Assets	456.84	526.98	635.04	573.89	659.12	▲ 14.9%
Customer Deposits	331.45	387.56	486.09	447.22	509.14	▲ 13.8%
Total Liabilities	382.29	449.32	548.69	481.53	546.08	▲ 13.4%
Shareholder's Funds	67.29	68.96	74.89	81.78	101.10	▲ 23.6%

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Spreads Analysis						
Yield on Assets	8.7%	9.2%	10.6%	11.5%	11.8%	▲ 0.4%
Cost of Funds	3.9%	4.3%	5.3%	6.3%	5.2%	▼ (1.1%)
Net Interest Margin	4.8%	5.0%	5.2%	5.1%	6.6%	▲ 1.4%
ROaE	6.8%	10.0%	10.8%	11.1%	11.7%	▲ 0.6%
ROaA	1.0%	1.4%	1.3%	1.4%	1.7%	▲ 0.3%
Profit Margin	16.8%	21.3%	19.6%	21.2%	22.9%	▲ 1.7%
Operating Efficiency						
Cost to Income Less LLP	46.9%	46.8%	51.7%	51.7%	48.8%	▼ (2.9%)
Cost to Assets Less LLP	2.7%	2.8%	3.2%	3.7%	3.5%	▼ (0.2%)
Loan to Deposit Ratio	66.5%	65.5%	63.5%	63.8%	63.7%	▼ (0.1%)
Asset Quality						
Gross NPL Ratio	12.9%	12.0%	13.4%	12.6%	11.4%	▼ (1.2%)
NPL Coverage	41.8%	46.3%	41.4%	39.9%	52.8%	▲ 13.0%
Cost of Risk	3.4%	2.8%	3.3%	3.0%	3.1%	▲ 0.0%
Capital Adequacy						
Core Capital/TRWA	19.9%	20.0%	16.3%	15.7%	15.5%	▼ (0.2%)
Total Capital /TRWA	21.2%	21.2%	17.0%	17.3%	16.9%	▼ (0.4%)
Liquidity	61.6%	58.3%	48.6%	49.9%	54.6%	▲ 4.7%

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